TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

Special Called Board Meeting — December 29, 2025

(No Town Hall meeting was held this month)

Prepared for Community Distribution

BACKGROUND AND CONTEXT

This was the first meeting of the newly-elected 2026 board of directors, convened as a special called meeting primarily to appoint advisory committee members for the coming year. Five of the seven board seats had flipped in the recent election, with the incoming majority having run on a platform of 'governance in the sunshine' and greater transparency. The meeting drew an unusually large crowd — standing room only — due to a community-wide email warning that golf and spending might be targeted. The meeting was long, contentious, and at times chaotic, revealing deep divisions both within the board and between the board majority and residents.

NOTE ON CONTEXT: The concerns documented here relate primarily to the December 29 meeting. Because this meeting preceded the March 2026 meetings already reviewed, some issues documented here provide important backstory for patterns observed in March.

EXECUTIVE SUMMARY OF CONCERNS

This report identifies six primary areas of concern from the December 29 special meeting:

- Coordinated pre-selection of advisory committee members by the board majority, bypassing established interview processes.
- Wholesale override of food services committee recommendations without explanation, in favor of candidates the committee never interviewed.
- Inflammatory and arguably intimidating public statements by board members, including branding community members who shared information as 'despicable' and implying the board knows who they are.
- A broad hiring freeze resolution that was poorly drafted, internally debated among board members regarding both legality and scope, and ultimately tabled after public pressure.
- A disputed audit committee composition that may have departed from bylaw requirements.
- A no-comment-period special meeting on highly controversial agenda items, compounded by a meeting notice that community members reasonably interpreted as threatening golf.

CONCERN 1: COORDINATED PRE-SELECTION OF COMMITTEE MEMBERS

The most significant governance concern of the entire meeting was the evidence — confirmed inadvertently by the board president himself — that members of the board majority had pre-selected advisory committee candidates before the formal voting process, and in at least one case before the established staff interview process was conducted.

1a. The President Admits He Personally Conducted Candidate Interviews

During the vote on the Public Services Advisory Committee (PAC), board member Carla Johnson raised the concern that some applicants had not been interviewed by staff or committee before the vote. The board president responded by revealing that he had personally conducted informal interviews:

> *"I personally sat down with James Guy, Bill Bush, uh John Olson, and Gary Zika personally because... I found the two that best I felt best fit the need for the village."*
>
> **[~1:24]**

This is a significant admission. The established process — as described by Parks & Recreation director Simon — is that staff convenes a quorum of the relevant advisory committee, conducts standardized interviews of all applicants, and makes recommendations to the board for final approval. The board president substituted his own personal vetting for that institutional process, pre-selecting preferred candidates before any formal deliberation. This is precisely the kind of 'handpicked committee' practice the incoming board had campaigned against.

Carla Johnson called it out directly:

> *"Instead of the committee and the staff going through the process as outlined and approved by the board, some board members just told Matt who they were going to vote for. And so why bother to go through the entire process, right? Save some time."*
>
> **[~1:23]**

1b. A PAC Director Confirms the Pre-Selection

The PAC committee's own director (unnamed in the transcript but speaking at ~1:21) made a remarkable statement that confirmed the concern:

> *"I had a very frank and honest conversation with a couple of board members recognizing that the fact that you go through interviews... and it was explained to me we have a pretty good idea who we want to put on the committee and I said very frankly not sarcastically very honestly thank you that's going to save me a lot of [time]."*
>
> **[~1:21]**

In other words: a staff director was told by board members in advance which candidates to expect to be selected, and essentially stood down from conducting a full interview process. The director, to his credit, noted the uncomfortable nature of this but accepted it rather than push back. This represents a collapse of the committee appointment process from within.

1c. Coordinated Bloc Voting Observed by Community Members

Multiple community members observed apparent coordination among the five-member majority during voting. Audience member Mike Blackwell described it specifically:

> *"I saw David with his head down put his hand up for somebody and then he looked up and saw that none of the other Tellico smart candidates had a hand up. Oh, I resend my vote. I saw a number of times Ed put a hand up but they were like referees at a football game. They blow the whistle, throw the flag, and then they look at each other, Ed and Carla, to make sure they're on the same page."*
>
> **[~3:21]**

Board member David himself acknowledged the perception when he subsequently explained why he appeared to withdraw a vote. These observations, combined with the director's admission of pre-selection, paint a picture of a majority bloc that had substantially decided committee membership before the public meeting began — making the public voting process a performance rather than a deliberation.

CONCERN 2: WHOLESALE OVERRIDE OF FOOD SERVICES COMMITTEE RECOMMENDATIONS

The most dramatic example of bloc voting came with the Food Services Advisory Committee. The committee had spent 'days, not hours, days' interviewing candidates and produced four recommendations for four open positions. The board majority voted for different candidates — people the committee had never formally interviewed — and rejected all four committee recommendations.

Committee chair Tom McI addressed the board after the vote:

> *"We spent days, not hours, days interviewing them. And as a committee, we stand by the four recommendations we made. And nothing against the ones that didn't, but we really went through it and appreciate your opinions on it after reading them, but if you sit down and talk to them, you might have come up with a different answer."*
>
> **[~58:43]**

Board member Carla Johnson pressed the majority for an explanation:

> *"Can you just fill us in on the qualifications that you saw as overriding what the committee's recommendations?"*
>
> **[~52:58]**

The response from the majority:

> *"I don't think that's appropriate. If we start that, we'll be here all day. We read their resumes. We think they're qualified."*
>
> **[~53:08]**

This response is inadequate. The committee spent days conducting structured interviews. The board majority spent time reading resumes. When a standing advisory committee's unanimous recommendation is overridden — on every single selection — by a board that did not conduct formal interviews of the selected candidates, that is a meaningful governance failure. The refusal to explain the reasoning in public is doubly troubling given the majority's stated commitment to 'governance in the sunshine.' Johnson put it plainly:

> *"Here is governance in the sunshine as long as it's the part you want to shine the light on."*

[~54:06]

CONCERN 3: INFLAMMATORY AND INTIMIDATING LANGUAGE FROM BOARD MEMBERS

The meeting produced some of the most inflammatory language observed from board members in recent memory. Two statements in particular warrant documentation.

3a. 'The Lies Are Despicable. And In My Opinion, The People Who Spread Them Are Too.'

Board member David made the following statement from the dais regarding the community-wide email that had been circulated warning residents that golf might be impacted:

> *"The spreading of those rumors, we know who did it, who many of them were... the lies that were spread about this that got all of you here today are despicable. And in my opinion, the people who spread them are too."*

[~1:07]

This statement has three serious problems. First, the person who sent the original email — which prompted the community turnout — was longtime former board member Pat White, who stated publicly that he had read the meeting notice and concluded it could affect golf. He was not fabricating information; he was interpreting a public document. The meeting notice did reference a spending and hiring freeze. That is a reasonable basis for community concern, not a 'lie.'

Second, calling members of the public 'despicable' from the board president's table — directed at people sitting in the room, including a former six-year board member — is a personal attack of the kind the board had just said would not be permitted in this meeting. David had earlier stated: 'Personal attacks don't happen in this meeting.' That standard apparently did not apply to the board itself.

Third, the implied surveillance ('we know who did it') is an unsettling comment to make from a position of institutional power toward members of the public who exercised their right to communicate concerns to neighbors. It functions as a warning, whether intended that way or not.

3b. 'Don't Believe It, Karen' — Dismissing Staff

Early in the meeting, Lackey glanced at an event calendar on screen and said:

> *"I saw the calendar up there. Don't believe it, Karen."*

[~12:29]

This is a small moment but worth noting. Karen is the staff member managing the meeting's logistics and presentation. Publicly dismissing her calendar data in a joking aside, without context, reflects a pattern of casual condescension toward staff that can undermine morale — particularly relevant given the subsequent hiring freeze debate about employee confidence.

3c. Misattributing the 'Rumor' and Refusing to Correct the Record

During the committee voting section, board member David stated:

> *"Carla lied to you. She had no business doing this. She's on the golf committee. She's on time. There's conflicts of interest. She's wrong. I know exactly what I'm saying."*

[~13:14]

This was the first outburst of the meeting, and it was aimed at fellow board member Carla Johnson, who had apparently communicated with property owners about the meeting's agenda. It later emerged that Pat White — not Carla Johnson — had sent the widely-circulated email. The public accusation against Carla was not retracted or corrected on the record. Regardless of who sent what, calling a fellow elected board member a liar in a public meeting is a serious breach of decorum.

CONCERN 4: THE HIRING FREEZE RESOLUTION — GOVERNANCE OVERREACH AND POOR DRAFTING

The board majority introduced two resolutions near the end of the meeting: one freezing spending on water/sewer infrastructure projects, and one imposing a broad hiring freeze across the POA. Both were drafted poorly enough to require significant debate and amendment in the meeting itself, and the hiring freeze was ultimately tabled after sustained board and public pushback.

4a. The Resolution Language Was Internally Inconsistent

The spending freeze resolution generated immediate confusion among board members about what it actually said. Board members debated for several minutes whether 'non-emergency' modified only TAP-related spending or all POA spending. The president finally had to read the resolution aloud and still could not resolve the ambiguity. The language was eventually amended on the floor to clarify intent.

That a resolution being presented for a formal board vote had not been reviewed and settled in advance — and that board members themselves were only seeing it the day before the meeting — reflects inadequate preparation. Board member Carla noted:

> *"I had not previously seen the resolutions until yesterday."*

[~1:58]

4b. The Hiring Freeze May Have Exceeded the Board's Proper Role

Board member Carla and board member Ed both argued at length that a blanket hiring freeze — overriding positions already budgeted and approved in the 2026 budget — constituted micromanagement of the General Manager, whose authority to hire staff is established in the bylaws:

> *"The board's only employee per our bylaws is the GM. So yes, we can set financial requirements and things based on that, but we give that to the GM and the GM implements it. We're micromanaging the staff."*

[~2:47, Ed]

Board member Carla added:

> *"I just feel like we're getting out of our lane here... it's the general manager's role to do these things."*

[~2:49]

These are substantive governance arguments, not political ones. If the bylaws establish the GM as the board's sole employee and vest hiring authority in the GM, then a board resolution requiring board pre-approval of all hires may constitute overreach. This was not legally resolved in the meeting.

4c. The Freeze Would Have Overridden an Already-Approved Budget

Both Carla and Ed pointed out that the 2026 budget — including staffing levels — had been approved after exhaustive budget meetings. A blanket freeze on hiring would effectively undo specific budget line items without going through the proper budget amendment process. As Carla put it:

> *"So, are we now operating without a budget?"*

[~2:36]

This is a legitimate procedural question. If a board majority can pass a resolution on the same day as organizing committee appointments that overrides a recently passed budget, it creates an unstable governance environment where the budget has no real authority.

4d. The Freeze Was Ultimately Tabled — But the Process Was Telling

After sustained community pushback and board debate, board member David moved to table the hiring freeze. His stated reason was revealing:

> *"Rightly or wrongly, people think this motion was aimed at golf. It wasn't intended that way, but the perception's there. And partly for that reason and partly because we need to have an... I can't talk about confidential stuff that's going to happen in executive session. But I will say if we don't have it, things will not be as good for some of the people we rely on if we don't get it done before the end of this month."*

[~3:23]

This passage is notable. David appears to be referencing confidential executive session matters as partial justification for tabling the motion — while simultaneously saying he cannot discuss them. This is an opaque explanation that the community cannot evaluate. The spending freeze on TAP infrastructure projects did pass with a 90-day review period attached.

CONCERN 5: THE AUDIT COMMITTEE COMPOSITION DISPUTE

A substantive debate broke out early in the meeting over whether property owners (non-elected community members) could be appointed to serve on the Audit Committee, which is a board standing committee. Board member Carla argued that the bylaws require the audit committee to be composed of board members:

> *"To put non-elected board members on this committee doesn't seem to be in the spirit of our bylaws. While it doesn't say you can't do it, what it does do is tell us what we are supposed to do. And what we are supposed to do is appoint three board members to this committee."*
>
> **[~19:38]**

The majority countered that 'members' in the bylaws refers to property owners generally, not just board members, and that bringing in outside expertise (including a professional accountant from a Big Five firm) was sound practice. The motion passed over Carla's objection.

What makes this concerning is not the outcome — there are legitimate arguments on both sides of the bylaw interpretation — but the process. The bylaws question was not definitively resolved; legal counsel's opinion was referenced only as not having been sought for this specific question. An audit committee with unclear legal authority to include non-board members creates a potential vulnerability in the POA's financial oversight structure. The board should have sought a legal opinion before the vote rather than proceeding through disagreement.

CONCERN 6: SPECIAL MEETING WITH NO PUBLIC COMMENT PERIOD ON HIGHLY CONTROVERSIAL ITEMS

The board convened this meeting as a 'special called meeting,' which under the bylaws does not require a public comment period. Lackey stated at the outset:

> *"Since special meetings are limited to the purposes specified in the meeting call... this special meeting will not include a public comment period."*
>
> **[~12:44]**

However, the agenda included not just routine committee appointments but two significant resolutions — a spending freeze and a hiring freeze — that directly affected employees, amenities, and infrastructure projects in ways the community clearly cared about deeply (evidenced by standing-room attendance). Using the special meeting format to avoid a formal comment period on consequential resolutions is technically permissible but arguably contrary to the spirit of transparency the new board had campaigned on. Lackey did ultimately allow public comment informally ('I'm going to bend the rules a little bit here'), which is to his credit, but this was a discretionary act that could have been withheld.

The community's frustration was compounded by a meeting notice that referenced the hiring and spending freeze but did not clearly explain its scope. Former board member Pat White stated:

> *"You're in this situation today, all of us, because of your miscommunication of what you were going to cover today."*
>
> **[~3:05]**

A new board that ran on transparency should have communicated more explicitly what the spending and hiring resolutions would address. The ambiguity generated the very community anxiety the board then labeled 'false fear-mongering.'

CONCERN 7: ADDITIONAL PROCESS IRREGULARITIES

7a. Unvetted Names on Long-Range Planning Committee List

An online commenter noted during the meeting that two names on the LRPAC (Long Range Planning Advisory Committee) list had not applied for the committee. While they were not elected, this raises questions about how the candidate list was assembled and whether it was reviewed for accuracy before the public vote. The board president acknowledged: 'I got the list. I didn't vet everything.'

7b. Self-Evaluation Form Dispute

A debate broke out over whether applicants for the Finance Advisory Committee were required to complete a standardized self-evaluation form as part of the application. CFO Judy said the form was required and one applicant (Sherry Oswald) had withdrawn rather than complete it. Several board members — including the board president — said they had never seen or been informed of this form. The origin and authority of the form was unclear. This reflects a broader institutional confusion about what the application process requires and who has authority to set those requirements.

7c. Tanasi 'PIT' Subcommittee Had No Charter

The board-level subcommittee overseeing the Tanasi project — referred to as 'the PIT' (Project Information Team) — was found to have no formal charter. The lone remaining member of the subcommittee acknowledged this and offered to create one. A committee with authority to approve change orders on a multi-million dollar construction project operating without a formal charter is a governance gap that should have been identified and corrected earlier.

7d. 120,000 Rounds Goal — Attributed to Board Member in Public Meeting

Resident Teresa described a September board meeting in which board member Joel challenged golf director Casey to produce 120,000 rounds of golf annually. She further noted that board member Ed argued against the feasibility of that goal in the same meeting. This challenged goal — which residents interpreted as a precursor to commercializing golf or demanding it become profitable — had been circulating in the community for months and directly contributed to the golf-protection fears that drove the large turnout. Whether or not the goal was intended as a directive, stating a specific round target in a public board meeting without contextualizing it as aspirational or exploratory creates policy implications that the board had not fully reckoned with.

SECTION 8: POSITIVE OBSERVATIONS (FOR BALANCE)

A fair analysis must acknowledge what the new board is doing right.

- The decision to conduct committee appointments in public rather than executive session is a genuine transparency improvement. Whatever concerns exist about the process, the community can now see who applied and who was selected.

- Voiding the prior board's non-disclosure agreements — announced at the opening of the meeting — was welcomed with applause and represents a meaningful governance improvement.
- The spending freeze on TAP infrastructure projects, with a 90-day review period, reflects legitimate concern about a $6-8 million contract that multiple board members found inadequately specified. Requiring competitive bids and legal review of major contracts is sound practice.
- Board member Carla Johnson's repeated and specific invocations of bylaw requirements — on the audit committee composition, on the GM's hiring authority, on the budget amendment process — demonstrate that the minority members of the board are functioning as an effective check, which is how governance is supposed to work.
- Multiple board members showed genuine appreciation for POA employees and specifically called out golf director Casey and golf superintendent Wells by name, making clear that the freeze was not intended as a personnel action against valued staff.
- The tabling of the hiring freeze after sustained community and board pushback suggests the majority is capable of responding to feedback. This is encouraging.

CONCLUSION AND FORWARD-LOOKING OBSERVATIONS

The December 29 special meeting was the incoming board's debut, and it raised serious questions about whether the majority's campaign commitments to transparency and process integrity would survive contact with governance reality. The most troubling findings:

- The pre-selection of PAC committee members — confirmed by the board president's own admission — is substantively indistinguishable from the 'handpicked' committee practices the incoming board campaigned against.
- The refusal to explain the wholesale override of the Food Services Committee's recommendations while claiming 'governance in the sunshine' is a direct contradiction.
- Branding community members who shared a public meeting notice as 'despicable' and implying the board knows who they are is coercive public language that has no place in a community governance forum.
- Introducing a broad hiring freeze without adequate legal analysis of the board's authority, without distributing the draft resolution to all board members in advance, and without a public comment period on a heavily attended meeting represents exactly the kind of unilateral action the incoming board said it would stop.

Cross-reference with March 2026 meetings:

Some patterns observed in December 2025 continued into the March 2026 proceedings documented in the prior report: over-broad invocation of confidentiality, the creation of ad hoc committees with unclear appointment processes, and a board majority that at times appears to have reached conclusions before public deliberation. Community members monitoring these proceedings should watch whether the 90-day spending freeze review on TAP projects results in a transparent public report to the community in March/April 2026, and whether the hiring freeze is revisited with proper bylaw analysis.

This report will be updated following the April 2026 Town Hall and Board Meeting.